A Strategic Growth Plan for Policy U

"Reducing Churn & Driving Subscription Growth"

November 2025

Copyright 2025 | Teams 2 & 4 | Hult International Business School

› Problem Statement

› How can Policy U implement a robust strategy to help prevent customer churn and grow its existing customer base?

Copyright 2025 | Teams 2 & 4 | Hult International Business School

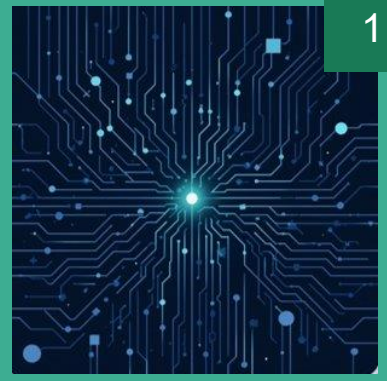
At 15.45% Churn rate;

Policy U sits at about the average churn rate for the top performers.

Our approach is to drive a dual growth Strategy to prevent churn and grown its customer base.

https://www.consumerintelligence.com/articles/the-importance-of-customer-retention-in-a-static-insurance-market

Contents



1 Summary of the Data

2 Insights & Analysis

3 Recommendations

4 Summary & Next Steps

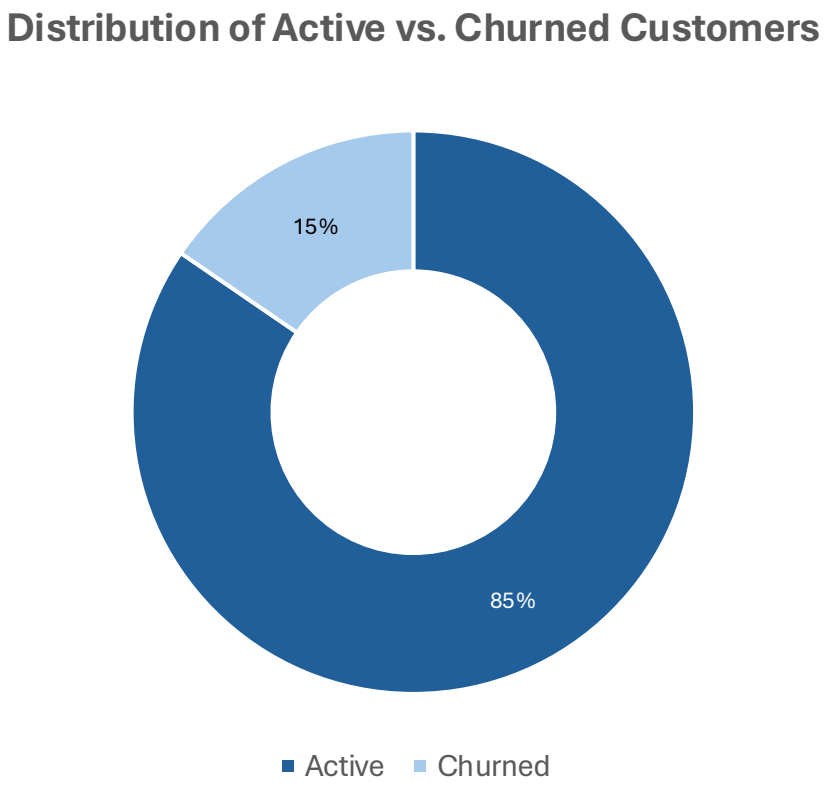
Copyright 2025 | Teams 2 & 4 | Hult International Business School

Exploratory Data Analysis (EDA)

› Summary of the Data

› Copyright 2025 | Teams 2 & 4 | Hult International Business School

Large customer base with a moderate overall churn rate (~15%)

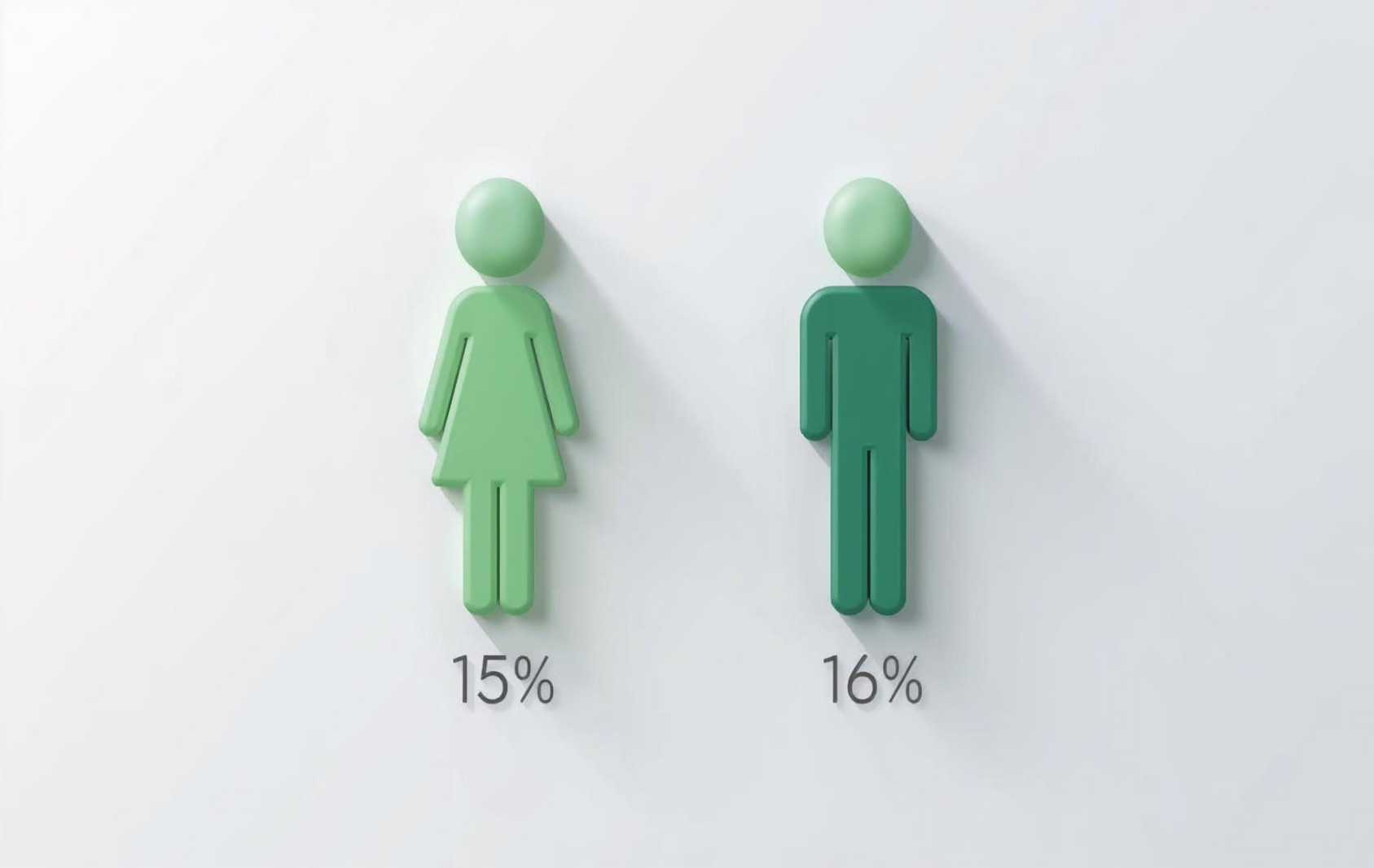


Insights

- 54,110 customers in total; 8,358 have churned
- Most of the customers remain active, so reducing churn even by a few percentage points has a meaningful business impact

Copyright 2025 | Teams 2 & 4 | Hult International Business School

Average Age & Gender Split



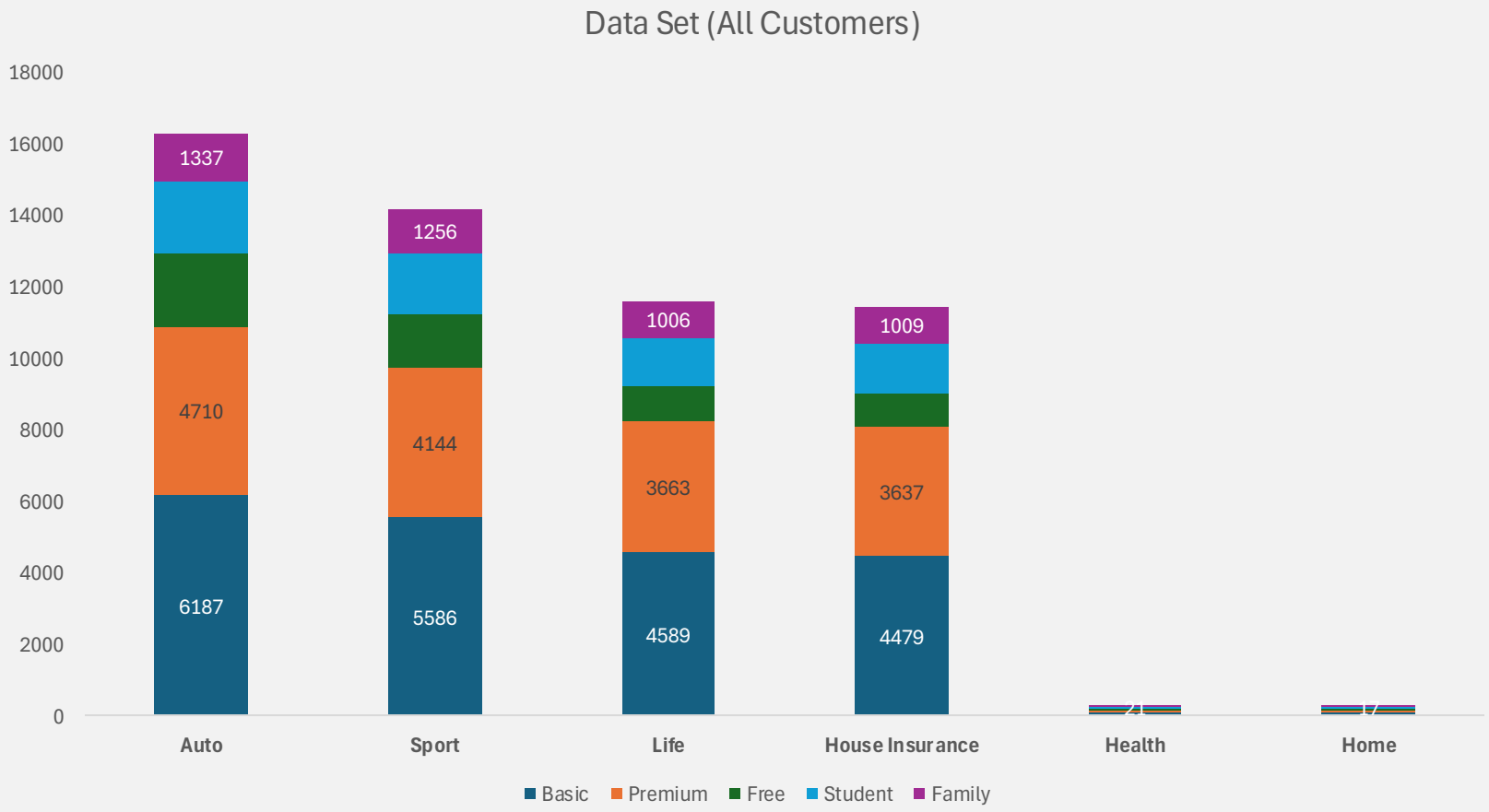
Insights

- Male and female subscribers have approximately the same churn rate with male subscribers marginally more in the premium category and female slightly more in the basic category.

- 26,225 Female & 27,885 Males in the dataset

Copyright 2025 | Teams 2 & 4 | Hult International Business School

The Auto Insurance Category is the largest in the dataset.



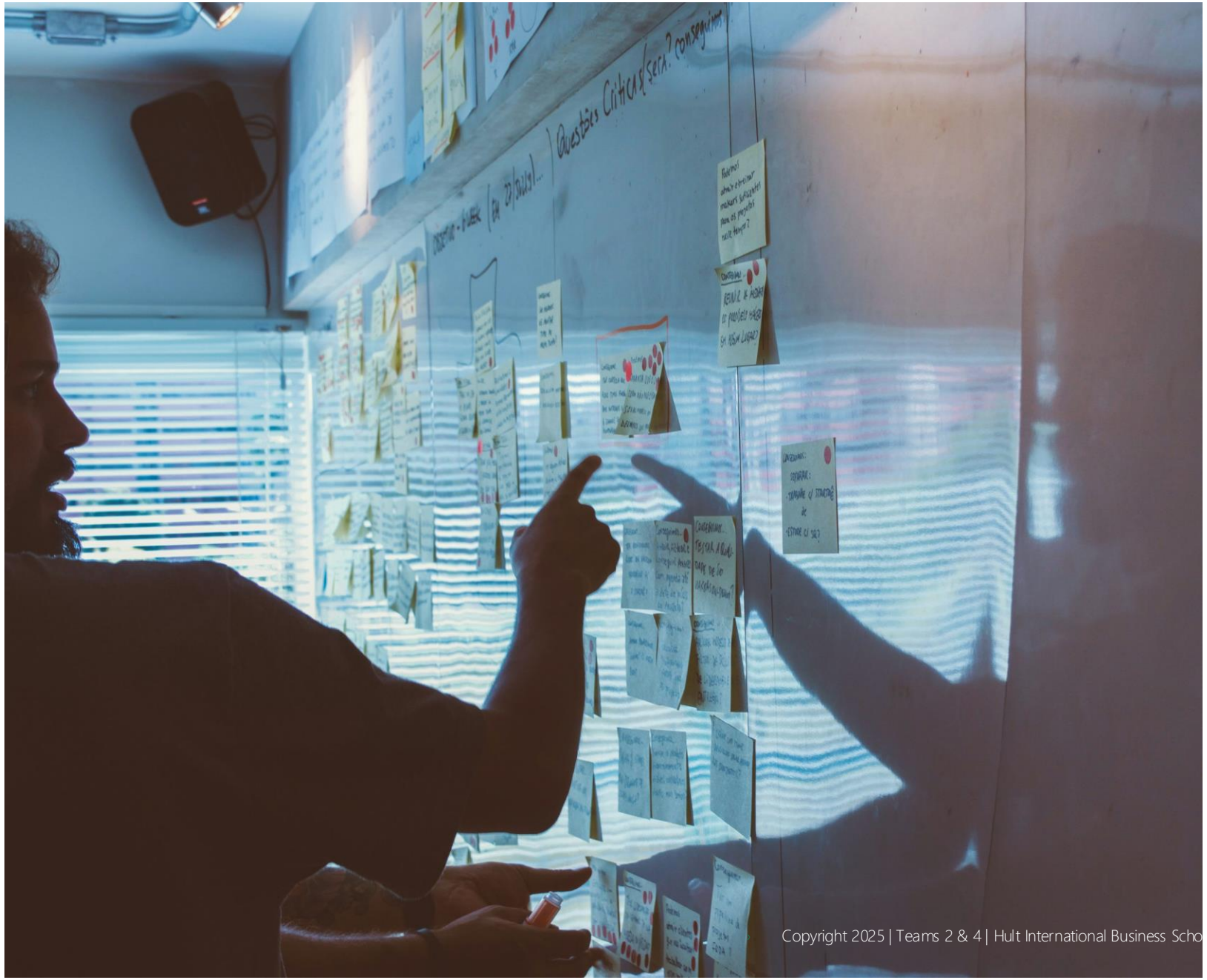
Insights

- Auto insurance category is the largest by policy type
- Within all categories, the Basic Plan has the highest number of Customers.

Copyright 2025 | Teams 2 & 4 | Hult International Business School

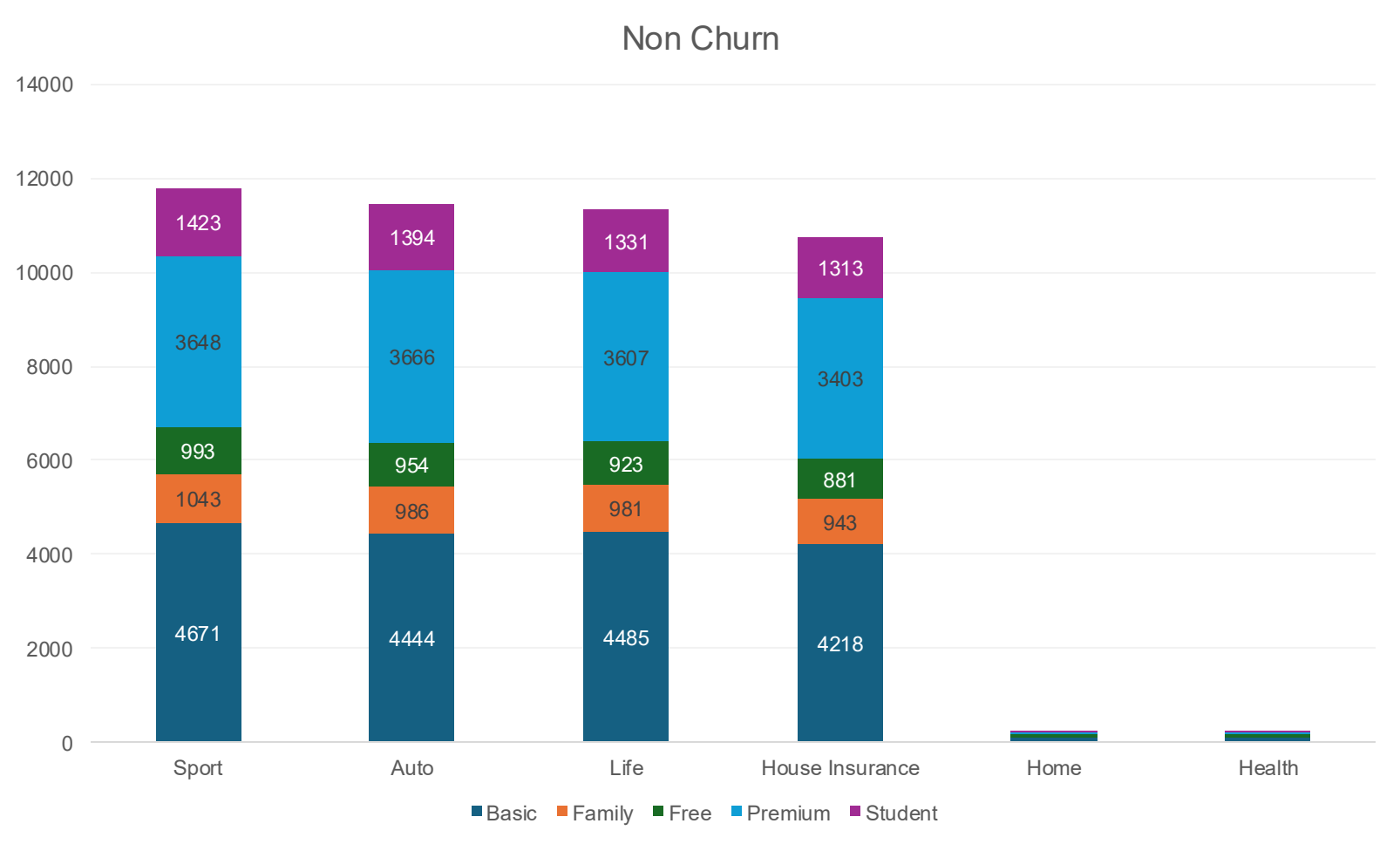
Data Insights & Analysis

- Which datapoints matter?
  - *Claims Resolution*
  - *Customer Engagement*
  - *Customer Complaint resolution*
  - *Customer Support Quality*
  - *Late/Missed Payments*
  - *Fraud Detection & Prevention*



Copyright 2025 | Teams 2 & 4 | Hult International Business Scho

On a positive note:
Customer with Sports Subscriptions have the least churn

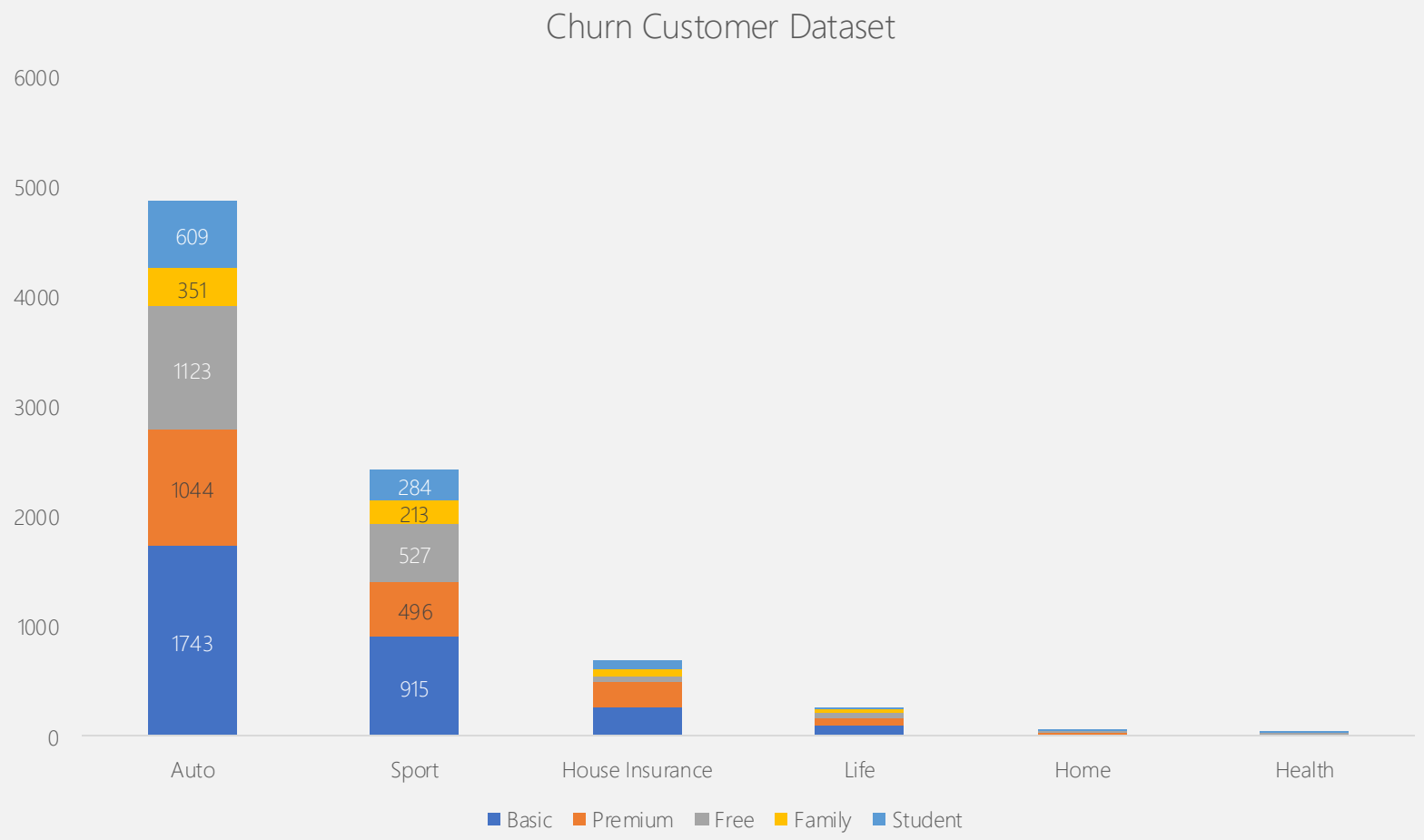


Insights

- For the non-churn customers most have a sport insurance, followed by auto, life and house insurance
- Almost no customers have Home or health insurance

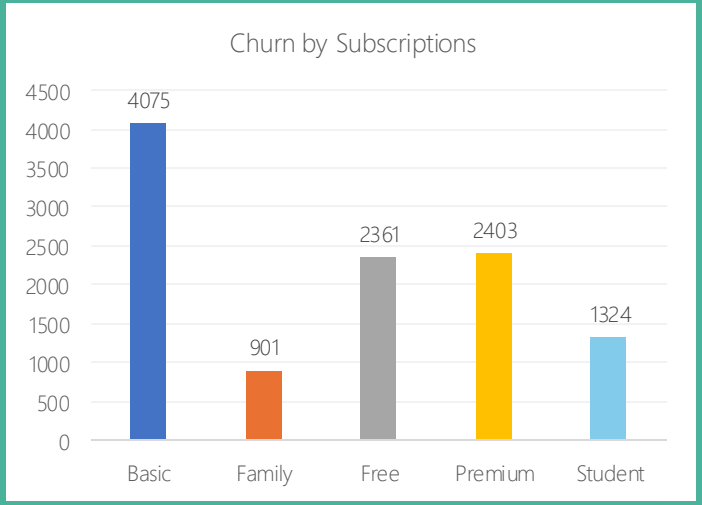
Copyright 2025 | Teams 2 & 4 | Hult International Business School

The Auto-insurance customers had the most Churn overall



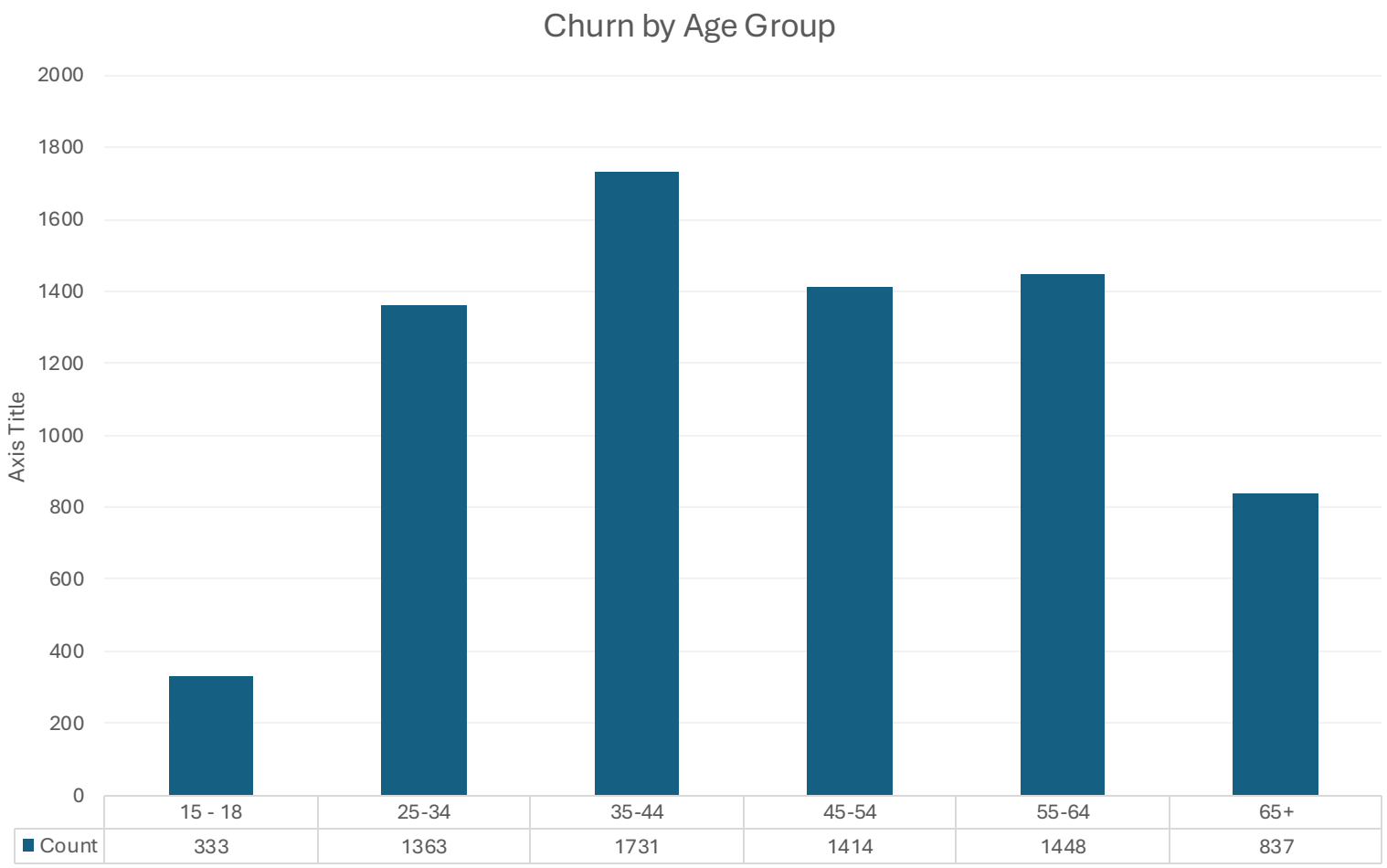
Insights

- **Feature Auto Insurance on the Home Page of the App with a compelling Call to Action**



Copyright 2025 | Teams 2 & 4 | Hult International Business School

Customers between the ages of 35 and 44 had the highest churn

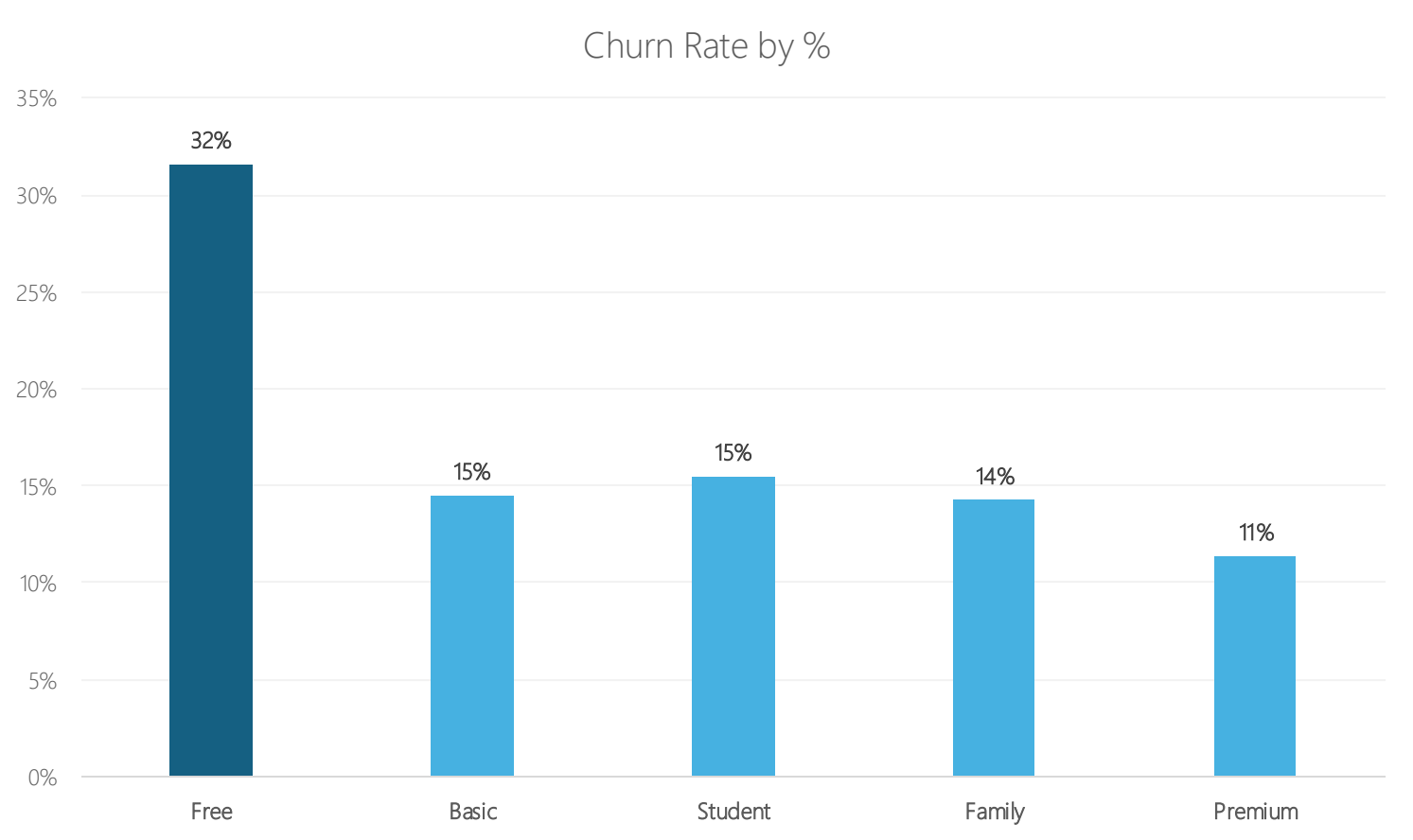


Insights

- What are the opportunities that exist in creating meaning groupings & personas?

Copyright 2025 | Teams 2 & 4 | Hult International Business School

By percentages Free Subscription Customers had the highest churn (within its category)

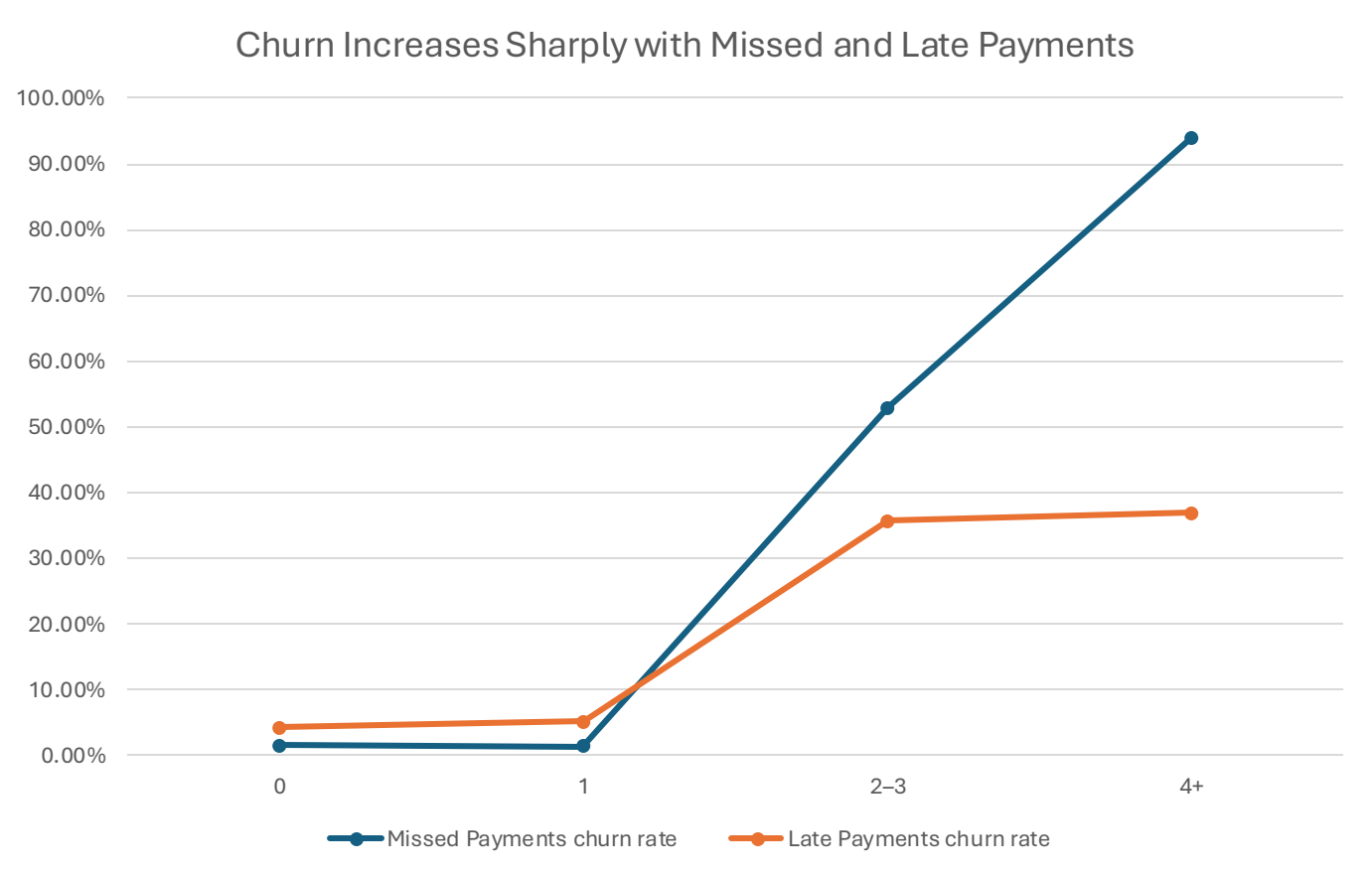


Insights

- **Free subscription customers show the highest churn rate across all tiers**
- **Paid tiers (Basic, Family, Premium) exhibit clearly lower churn rates**
- **Free customers represent a smaller share of the base but a disproportionate share of churn**

Copyright 2025 | Teams 2 & 4 | Hult International Business School

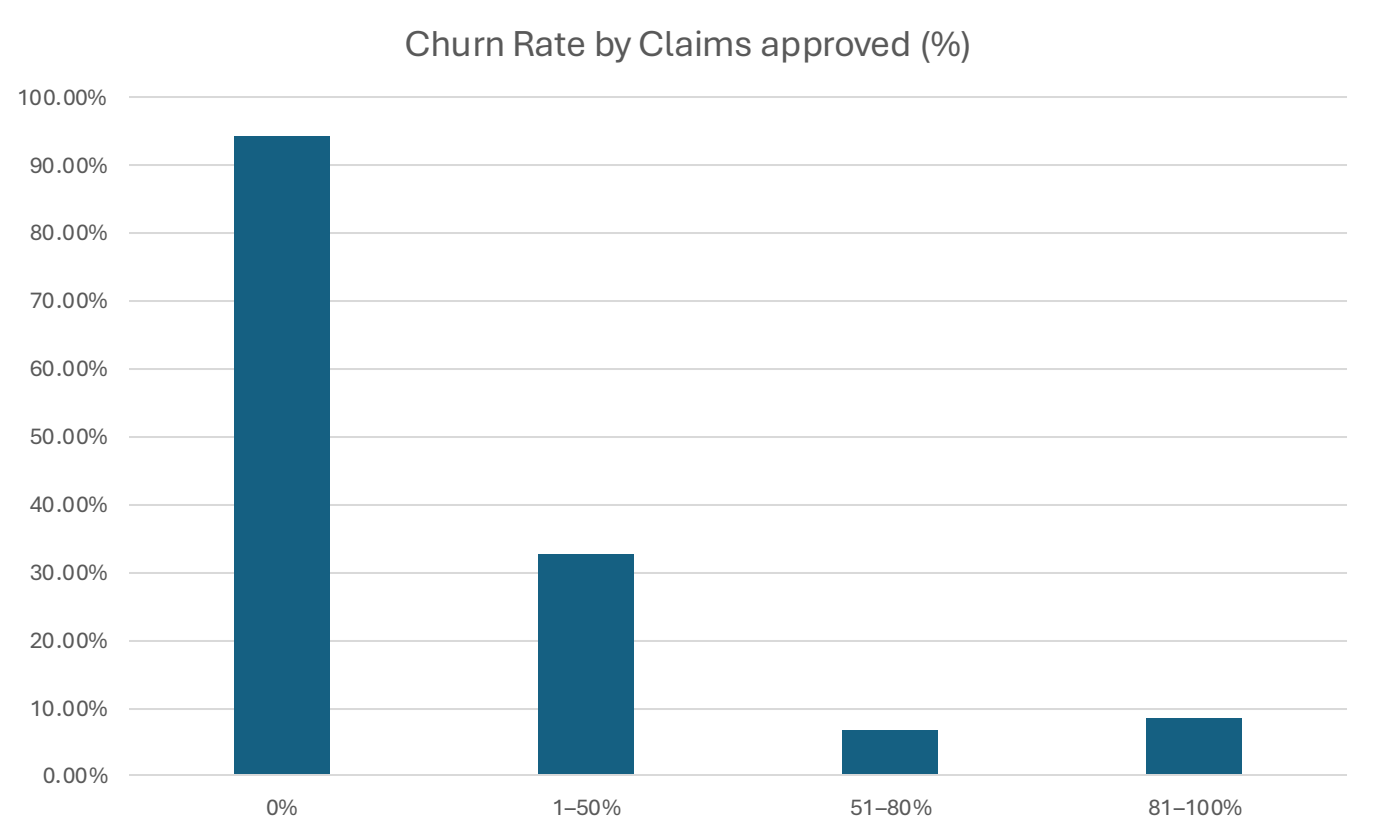
There’s a high churn rate for customers with late and missed payments



Insights

- **Automated Payment reminders for customers with late payments**
- **Verify by 3rd Party Payment Partners for Payment Integrity**
- **Ensure Data Integrity is captured in the Privacy Policy**

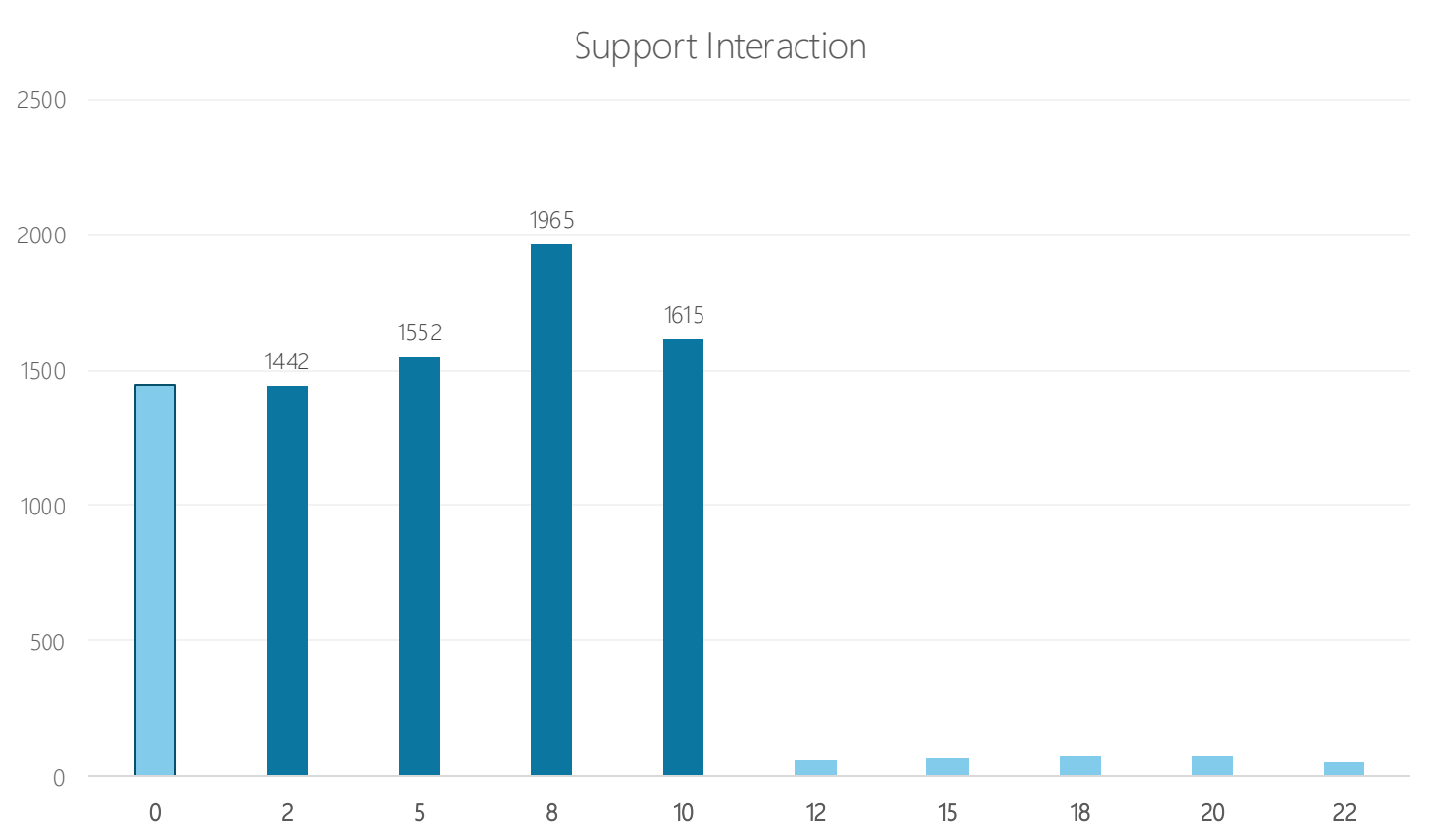
Low approved claim customers have a high churn



Insights

- Customers with no approved claims have an extremely high churn rate
- Churn drops sharply once customers have at least some approved claims
- High claim approval rates (above 50%) are associated with very low churn

78% of churned customers had 2 - 10 Support Interactions

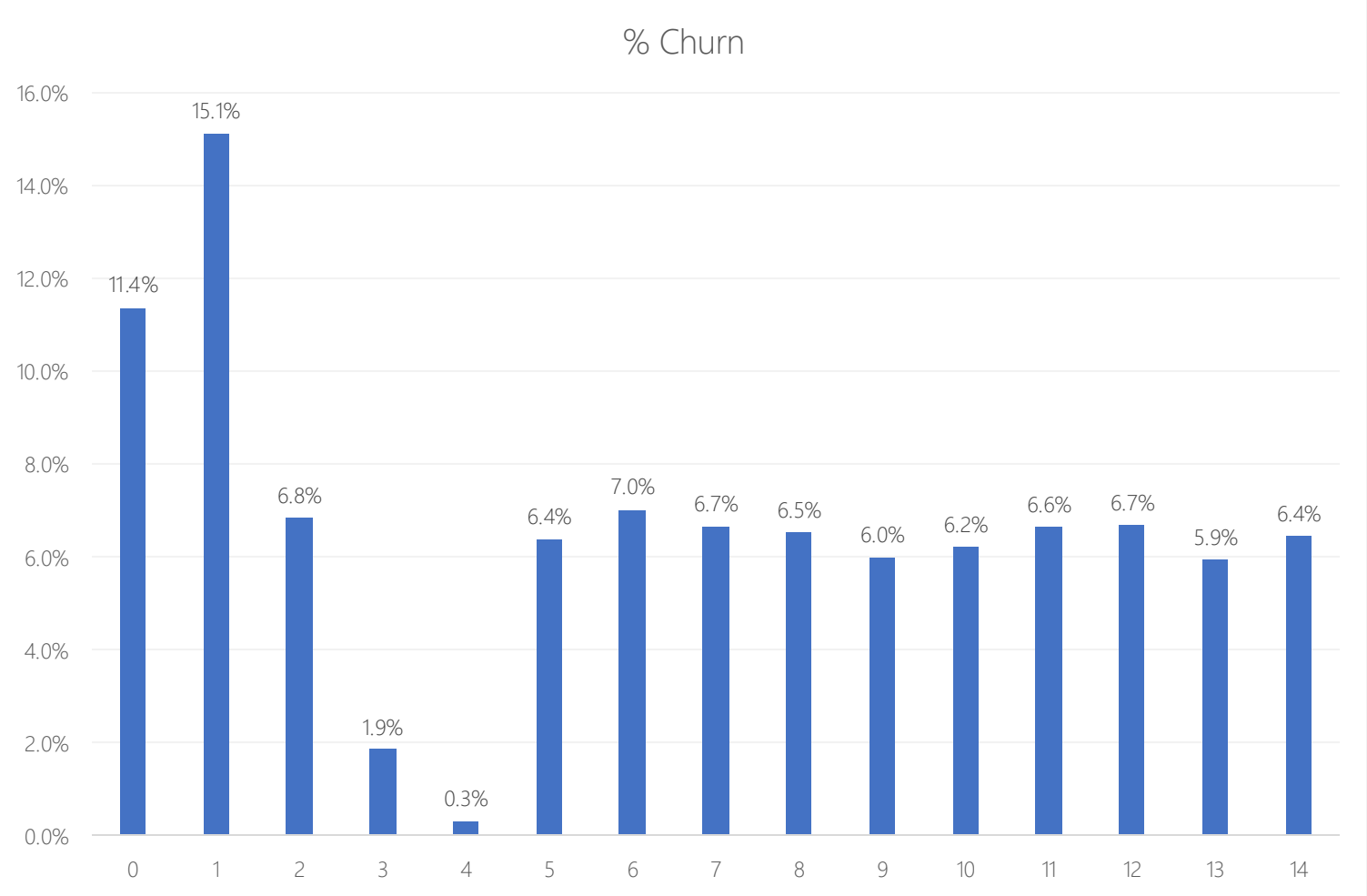


Insights

- **Around 89% of churned customers had at least one complaint before leaving**
- **Roughly 30% of churned customers made 10–14 complaints – indicating long-running unresolved issues**
- **Complaints volume is a strong early-warning signal for churn**

› Copyright 2025 | Teams 2 & 4 | Hult International Business School

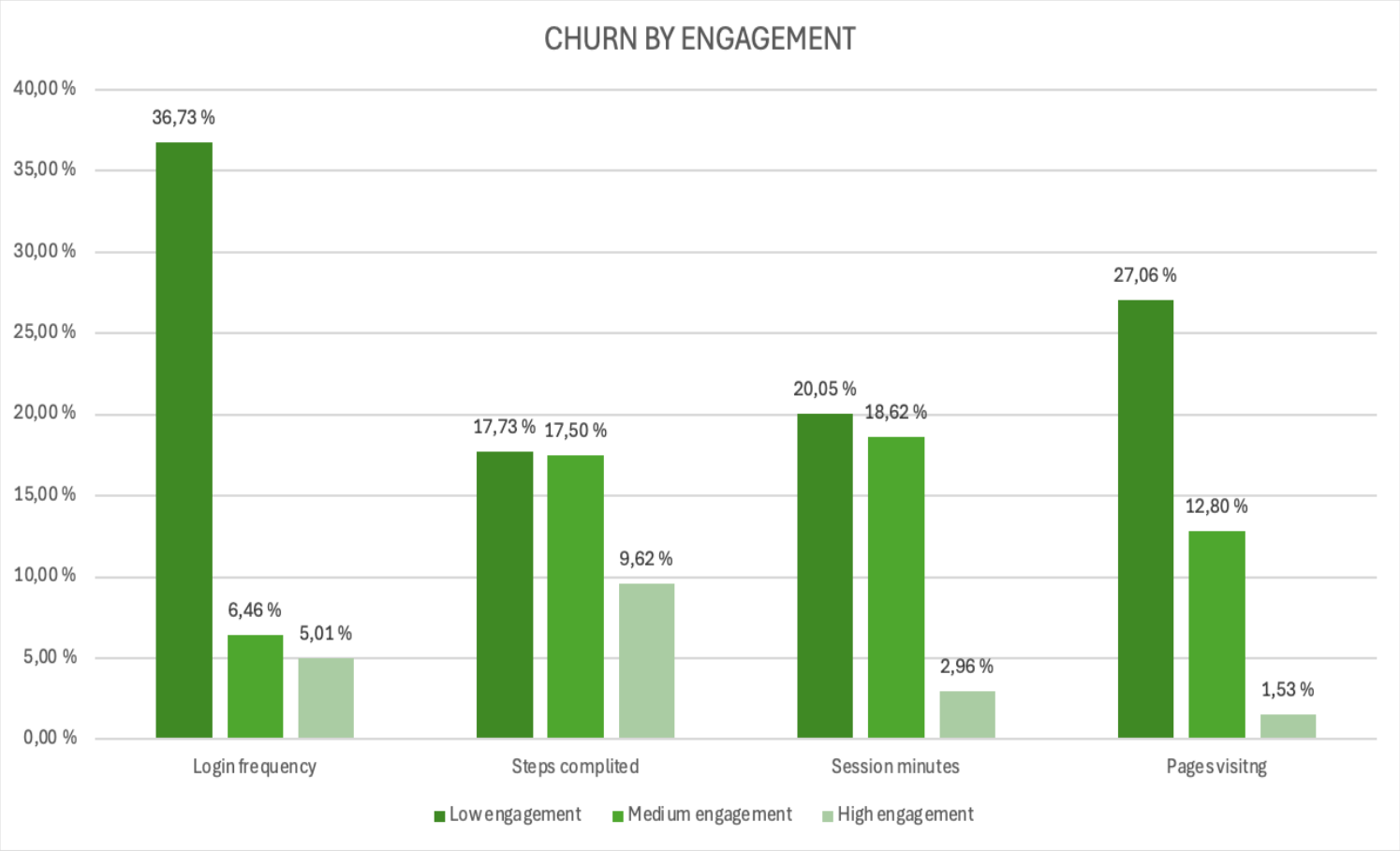
30% of churned Customer made 10 – 14 Complaints before they Churned



Insights

- Around 89% of churned customers had at least one complaint before leaving
- Roughly 30% of churned customers made 10–14 complaints – indicating long-running unresolved issues
- Complaints volume is a strong early-warning signal for churn

There’s a high churn rate for customers with low app engagement



Insights

- **Low-engagement customers show the highest churn across all app metrics**
- **Higher app engagement consistently reduces churn**
- **This makes moving customers from low to high engagement a key lever for churn reduction**

Copyright 2025 | Teams 2 & 4 | Hult International Business School

Limitations in the dataset

- *No information by Geography*
- *Early vs late-stage churn*
- *MRR (monthly returning revenue) cohort*
- *Analysis by Claim (60% exclusion set on applying the Valid filter)*

Copyright 2025 | Teams 2 & 4 | Hult International Business School

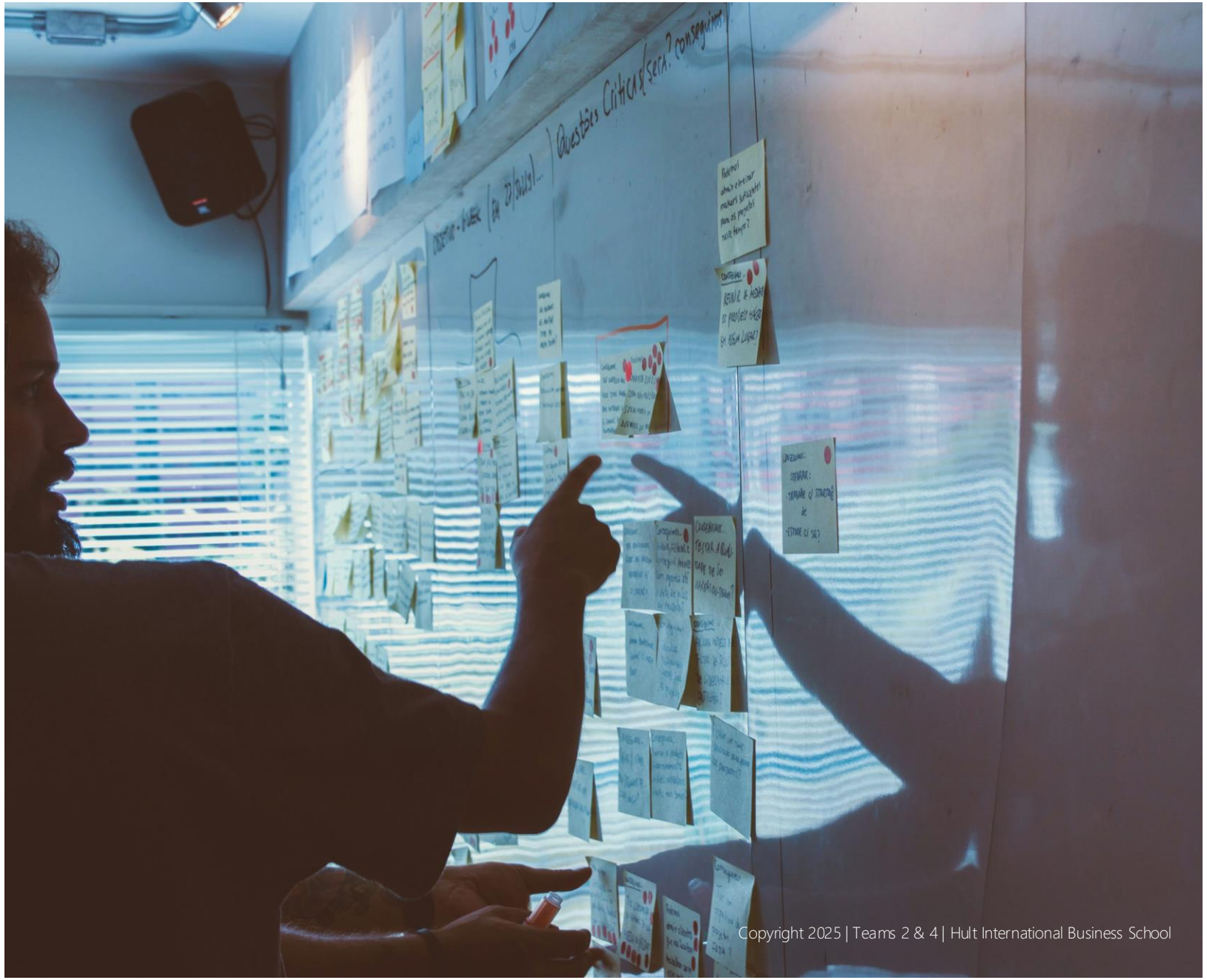
Our solutions will revolve around the highest opportunity levers

- *Claims Resolution*
- *App Engagement*
- *Customer Complaint resolution*
- *Customer Support Quality*
- *Late/Missed Payments*
- *Fraud Detection & Prevention*

Copyright 2025 | Teams 2 & 4 | Hult International Business School

Recommendations - Products

› How we'll create change!



Copyright 2025 | Teams 2 & 4 | Hult International Business School

Zero in on Auto-Insurance

Recommendations

- Feature Auto Insurance on the Home Page of the App with a compelling Call to Action
- Include insights on Search and FAQ page
- Consider bundling auto-insurance for increased benefit

Copyright 2025 | Teams 2 & 4 | Hult International Business School

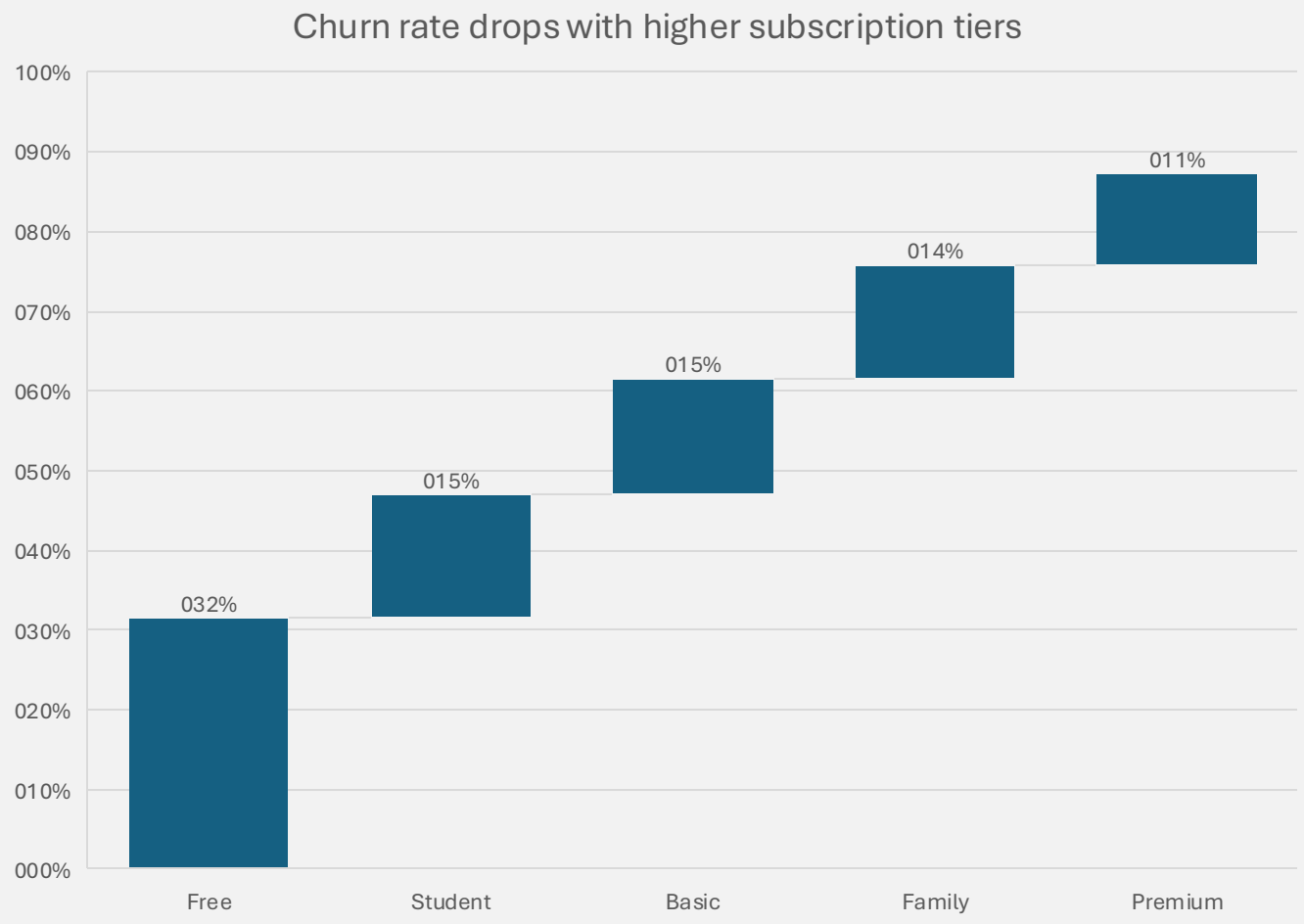
Intelligent Expanded Coverage

Recommendations

- Use claim data to design optional add-ons for frequently rejected events (e.g., roadside, sports cover)
- Create simple recommended bundles that balance price and protection
- Explain add-ons in plain language (what is covered / not covered) before purchase

Copyright 2025 | Teams 2 & 5 | Hult International Business School

Smart Customer Migration across Tiers



Recommendations

- Target high-risk Free customers for tier upgrades
- Offer time-limited free or discounted trials of higher tiers
- Use renewals and in-app prompts to upsell into Basic, Student, Family and Premium

Copyright 2025 | Teams 2 & 5 | Hult International Business School

AI Enabled Fraud Detection

Insights

Automatic detection of errors on claims

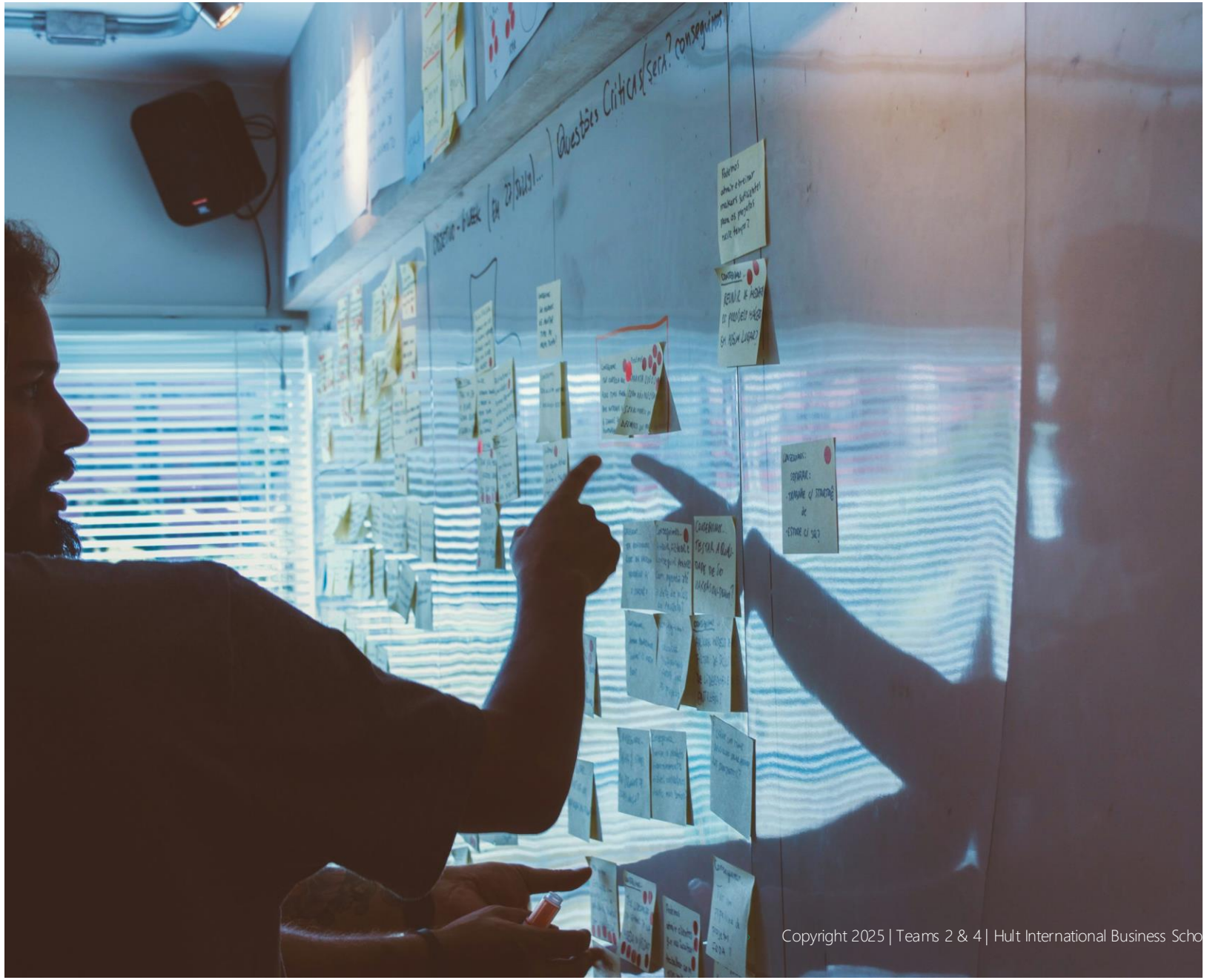
Insights for customers on claim coverage

Intelligent Customer Scoring on Claim behaviour

Copyright 2025 | Teams 2 & 4 | Hult International Business School

Recommendations - CX

› How we'll create change!



Copyright 2025 | Teams 2 & 4 | Hult International Business Scho

Create personas to capture the value that lies in similar groups “Segment Growth”

15 - 18

18 - 24

25 - 34

35 - 44

45 - 54

55 - 64

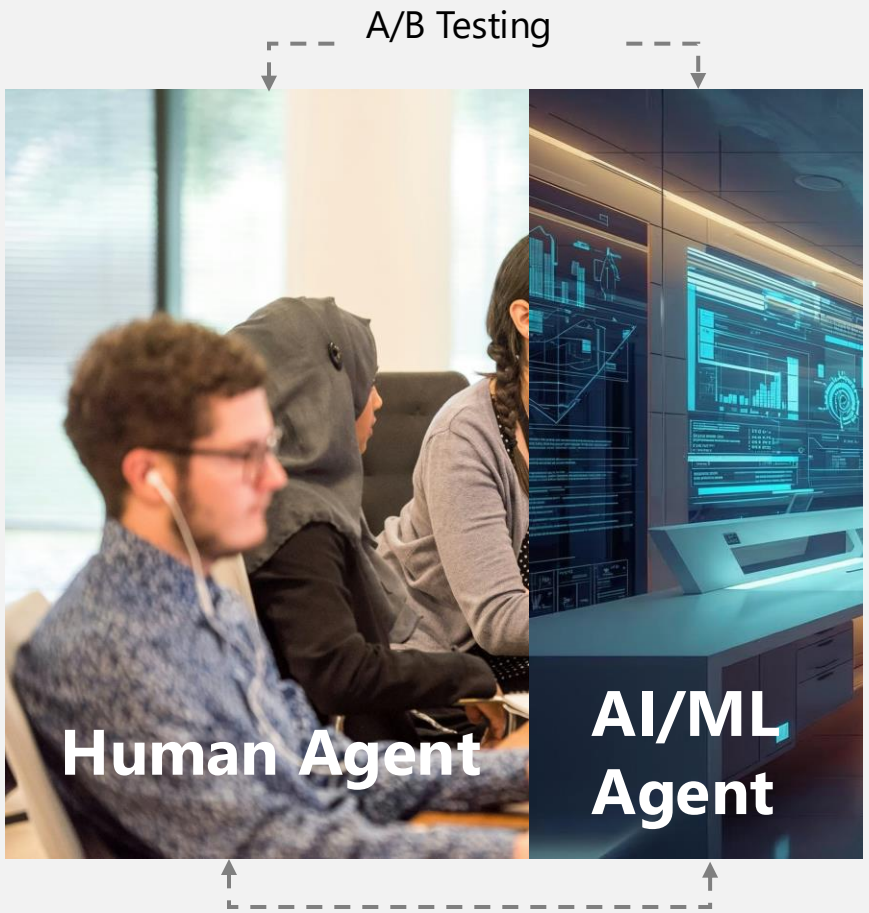
65 - >

Recommendation

- Highest churners 16-18 y/o
- Reasons can be that they are no longer insured through family plan
- This could be an opportunity for the company
- Strong onboarding and follow-ups

Copyright 2025 | Teams 2 & 4 | Hult International Business School

Hybrid Human/Automated Contact Centre (Support & Sentiment Analysis)



Recommendation

1. Train the AI Model with inputs from:

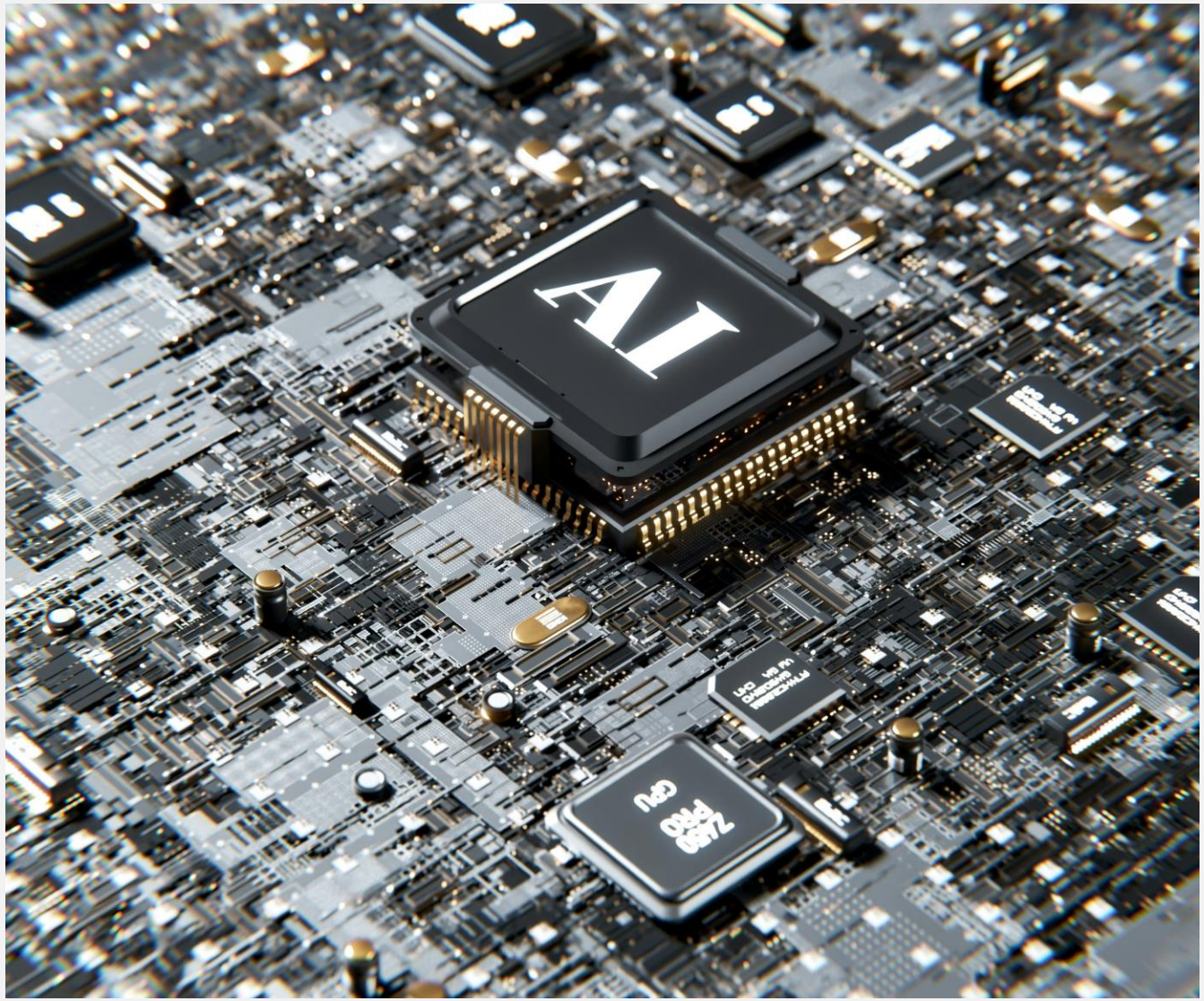
- Human Interaction
- Customer Complaints
- Products
- Claims

2. A/B Test all changes

3. 24 Hour Contact Center

Copyright 2025 | Teams 2 & 4 | Hult International Business School

Automated Claims Renewals



Recommendation

- Auto renewals
- Reminders
- Payment validity confirmation
- Agent follow up based on historical profile

Copyright 2025 | Teams 2 & 4 | Hult International Business School

Rewards & Gamification to drive Loyalty

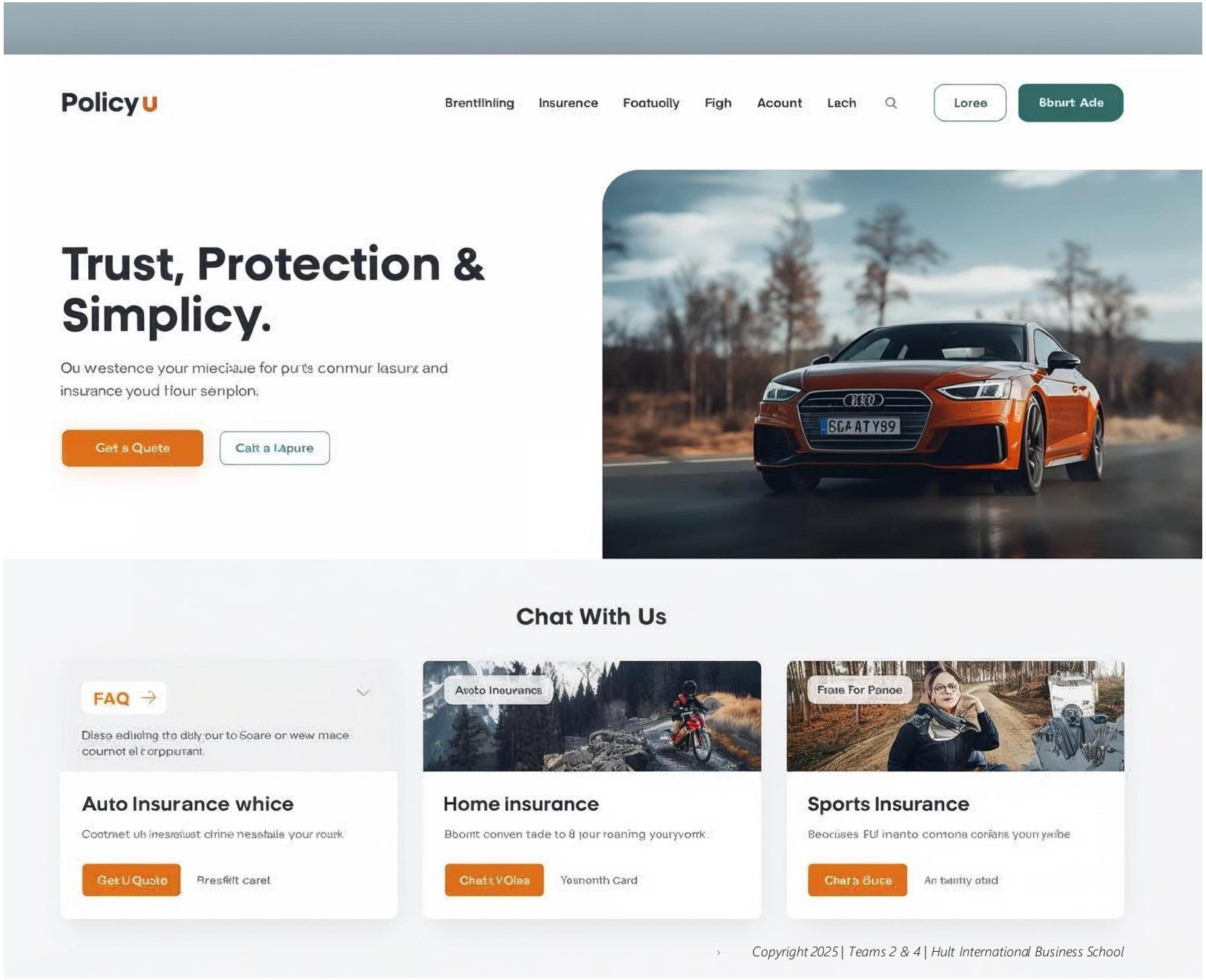
Recommendation

- Implementing a **loyalty and rewards program**
- Personalized rewards, bundled offerings
- Higher engagement → lower churn → stronger lifetime value

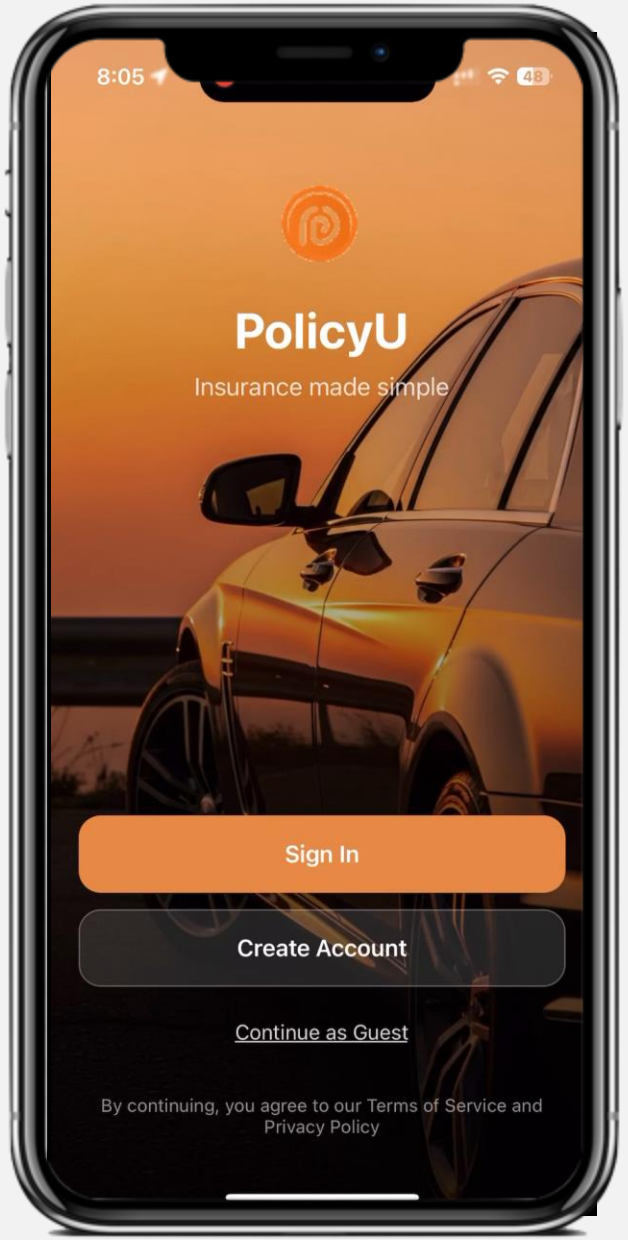
Copyright 2025 | Teams 2 & 4 | Hult International Business School

Recommendations - UX

› How we'll create change!



› Copyright 2025 | Teams 2 & 4 | Hult International Business School



Copyright 2025 | Teams 2 & 4 | HULT International Business School

APPENDIX

Copyright 2025 | Teams 2 & 4 | Hult International Business School

The major opportunities…

Products

- *Migrate Lower Tier to higher Tier customers (Non-Churn)*
- *Upsell & Bundle Offerings based on similar customer needs*
- *Utilize technology to detect and prevent fraud (Non-Churn & Churn)*
- *Create personas for personalized offerings (Ch & non-Churn)*

CX

- *Hybrid Human & AI/ML Contact center*
- *Block Chain for Smart Contracts & Payments*
- *Automated Claim Renewals*
- *Reward System & Gamification*

UI/UX

- *Intuitive Integration of our features into our multivariate platforms.*

› *Copyright 2025 | Teams 2 & 4 | Hult International Business School*